



LOAN AGREEMENT

MULTI-FAMILY REAL ESTATE

Capital Norvex Inc. — Institutional Version — Québec

BORROWER	_____
PROJECT	_____
AMOUNT	_____
TERM	_____
DATE	_____
FILE No.	_____

Structured capital. Mastered ambition.

CONFIDENTIAL — For signing parties and their legal advisors only

1. INTERPRETATION AND DEFINITIONS

1.1 Interpretation

Unless otherwise indicated, headings are inserted for convenience only and do not limit the scope of any provision. The singular includes the plural and vice versa. Any reference to a statute includes amendments thereto. Undefined terms have their usual meaning in the commercial real estate finance industry.

1.2 Definitions

"Agreement" means this agreement, its schedules, amendments, and all ancillary documents.

"Borrower" means the borrowing entity identified herein.

"DSCR" means Debt Service Coverage Ratio — annual NOI divided by annual debt service.

"Guarantor" means any individual or legal person providing security to the Lender.

"Hypothec" means the first-ranking immovable hypothec published in favour of Capital Norvex.

"Lender" means CAPITAL NORVEX INC., acting for its own account and/or for financial partners.

"LTV" means Loan-to-Value ratio.

"NOI" means Net Operating Income — gross rental revenues less normalized operating expenses.

"Occupancy Rate" means the percentage of rental units effectively rented and generating revenue.

"Property" means the multi-family real estate described in Schedule A.

"Rent Roll" means the official document listing all units, tenants, applicable rents, and active leases.

"Score Norvex(TM)" means Capital Norvex's proprietary analysis and monitoring system.

"SPV" means a legal entity dedicated to holding the Property.

2. PARTIES

2.1 Lender

Corporate Name:

CAPITAL NORVEX INC.

Address:

Authorized Representative:

2.2 Borrower

Corporate Name:

Business Number (NEQ):

Registered Office Address:

Authorized Representative:

Title:

2.3 Guarantors

The Guarantors below are jointly and severally, and indivisibly, bound with the Borrower for all obligations arising under this Agreement.

Guarantor 1 – Name:

Guarantor 2 – Name (if applicable):

3. PURPOSE OF LOAN

Capital Norvex grants Borrower a multi-family financing loan intended **exclusively** for the acquisition and/or refinancing of the Property described in Schedule A. Funds may not be used for any other purpose without the Lender's prior written consent. The following are expressly prohibited without written authorization:

- Any unauthorized refinancing of existing obligations
- Any distribution to shareholders, partners, or members
- Any transfer to other projects or entities

4. AMOUNT, TERM AND FINANCIAL CONDITIONS

4.1 Loan Amount

Authorized Amount:

\$ _____ CAD

The Lender is not required to advance the full authorized amount. Disbursement is made at its sole discretion after all conditions herein are satisfied. The LTV ratio must not exceed the approved threshold.

4.2 Term

Initial Term:

_____ months from the date of disbursement

Any extension is at the Lender's sole discretion and may be subject to additional fees.

4.3 Interest Rate

Annual Rate:

_____ % per year

Interest is calculated daily on the outstanding balance, **without compounding**. Monthly interest payments are due on the first business day of each month.

4.4 Fees

Fee Type	Rate / Amount	Due
Opening / Origination fee	_____ %	At signing
Renewal fee	_____ %	At each renewal
Exit fee	Min. 3 months' interest	At repayment
Legal fees (Lender)	Actual cost	On demand
Appraisal / Expert fee	Actual cost	On demand

5. FINANCING STRUCTURE — NORVEX CLAUSE

5.1 Partner Participation

Capital Norvex may, at its sole discretion and without notice to Borrower: finance the Loan in whole or in part through financial partners, assign or syndicate all or any part of the financing, and structure economic participations of any nature.

5.2 Exclusive Administration

Capital Norvex acts as the sole manager of the financing, administrator of disbursements, and representative of financial partners. Only Capital Norvex holds decision-making authority with respect to the Borrower. Financial partners assume no direct liability toward the Borrower, who expressly waives any direct recourse against them.

5.3 Score Norvex(TM)

Borrower acknowledges that Capital Norvex uses the proprietary **Score Norvex(TM)** system to evaluate, monitor, and rate the file throughout the Loan term. The results of this analysis may influence the conditions, disbursement amounts, and decisions of the Lender.

6. CONDITIONS PRECEDENT TO DISBURSEMENT

6.1 Conditions to Disbursement

No disbursement shall be made until Capital Norvex has received, reviewed, and approved, in its sole discretion, all of the following:

- Incorporating documents and resolutions authorizing the borrowing
- Proof of equity injection (actual, non-conditional funds)
- Recent independent appraisal report (certified appraiser accepted by Lender)
- Phase I Environmental Report (Phase II if required)
- Current certificate of location

- Complete, signed, and current Rent Roll
- Copies of all active leases
- Financial statements for the last 2 fiscal years of the Property
- Lender-approved income and expense Pro Forma
- Occupancy rate confirmation (minimum 85% required)
- Publication of first-ranking Hypothec
- Signed and registered assignment of rents
- Property all-risk and liability insurance policy (minimum \$2M)
- Personal suretyships from Guarantors identified herein
- Complete legal opinion accepted by Lender

6.2 Ongoing Conditions

- No Event of Default
- Maintenance of minimum approved occupancy rate
- Compliance with DSCR and LTV covenants at all times
- Maintenance of required insurance
- Quarterly updated Rent Roll provided to Lender
- Compliance with applicable laws and regulations

7. DISBURSEMENT — STRUCTURE AND CONTROL

7.1 Single Disbursement

The financing is structured as a single disbursement at the closing of the transaction, after full satisfaction of all conditions precedent. Capital Norvex retains absolute, exclusive, and discretionary control over all funds. No amount is owed until all conditions set out herein are fully satisfied.

7.2 Documents Required at Disbursement

- Signed formal disbursement request by Borrower
- Notary confirmation that all conditions have been satisfied
- Updated title search report
- Title insurance confirmation
- Disbursement statement and breakdown of funds
- Finalized Rent Roll as of the closing date

7.3 Right of Refusal

Capital Norvex may, without obligation to provide reasons: refuse or suspend disbursement, require additional security or a capital injection, and delay any payment if there is any doubt as to the property's value or the viability of the transaction.

8. SECURITY

8.1 Immovable Hypothec

Borrower grants in favour of Capital Norvex a **first-ranking** immovable hypothec covering the property, its present and future improvements, rents, insurance proceeds, and sale proceeds.

8.2 Assignment of Rents and Suretyships

Borrower assigns all present and future rents. Guarantors provide a **joint, irrevocable, and unlimited** suretyship covering principal, interest, fees, and all costs incurred.

8.3 Additional Security

Capital Norvex may require, at any time:

- Irrevocable letter of credit
- Pledge of shares or units of Borrower SPV
- Corporate guarantee from an entity approved by Lender
- Reserve deposit equivalent to 3 months' interest
- Capital expenditure reserve for Property maintenance

9. FINANCIAL CONTROL AND CASH FLOW

All funds flow through an account controlled by Capital Norvex. No withdrawal, transfer, or distribution is authorized without prior written consent. Capital Norvex may apply amounts received in the following order: fees, interest, principal, reserves. Borrower provides full and immediate access to its accounts, books, and transactions.

Capital Norvex may require that rents be paid directly into a designated collection account.

10. COVENANTS

10.1 Affirmative Covenants

- Maintain the Property in good condition and state of repair
- Comply with residential tenancy legislation and all applicable laws
- Maintain updated Rent Roll and provide quarterly to Lender
- Maintain occupancy rate at the level approved by Capital Norvex
- Pay all property taxes, charges, and obligations
- Maintain all required insurance
- Provide annual financial statements within 120 days of fiscal year-end
- Provide quarterly financial statements within 30 days of quarter-end
- Notify Capital Norvex of any major tenant departure or rental dispute
- Obtain Capital Norvex approval for any lease exceeding 12 months

10.2 Negative Covenants (without written consent)

- No additional debt or encumbrance on the Property

- No below-market or related-party lease without Lender approval
- No material modification to the Property without approval
- No sale, transfer, or assignment of Property or SPV
- No distributions to shareholders or partners
- No conversion of Property (condos, change of use)

10.3 Financial Covenants

Covenant	Threshold	Verification Frequency
Maximum LTV	75%	Annual
Minimum DSCR	1.20x	Quarterly
Min. Occupancy Rate	85%	Quarterly
Interest Reserve	Required	Ongoing
Financial Statements	Ann. + Qtly	Ongoing

11. REPRESENTATIONS AND WARRANTIES

Borrower and Guarantors represent and warrant to Capital Norvex that, as of the signing date and throughout the Loan term:

- They are duly incorporated and in good standing under applicable laws
- They have the full legal capacity to enter into the obligations set out herein
- All required authorizations have been duly obtained
- All information provided is complete, accurate, and non-misleading
- The property complies with all applicable laws, standards, and regulations
- No litigation, claim, or legal hypothec is pending
- No event of default exists or is about to occur
- The Rent Roll provided is complete, accurate, and current for at least 90 days
- The stated occupancy rate is accurate as of the signing date

12. EVENTS OF DEFAULT

The following constitute Events of Default, among others:

Financial:

- Default in monthly interest or principal payment
- Breach of a financial covenant
- Insufficient equity to maintain the approved LTV ratio

Operational / Property:

- Drop in occupancy rate below minimum approved threshold
- Departure of major tenants materially compromising NOI
- Failure to provide Rent Roll or required financial statements

Legal:

- Material seizure or judicial proceeding
- Loss or invalidity of any security

Administrative:

- Failure to maintain required insurance
- False representation or inaccurate information

Borrower / Guarantor:

- Insolvency, bankruptcy, or creditors' proposal
- Unauthorized change of control of Borrower

Discretionary:

- Any event Capital Norvex deems as compromising repayment or increasing risk

13. LENDER REMEDIES

Upon an Event of Default, Capital Norvex may, without notice or delay:

- Declare the Loan immediately due and payable in full
- Enforce all security granted
- Collect directly all revenues and proceeds from the property
- Appoint a receiver with full powers
- Sell the property privately or through judicial proceedings
- Exercise any other remedy available at law

14. REPAYMENT

14.1 Maturity and Terms

Principal is repayable in full at maturity, upon sale, institutional refinancing, or realization of the approved strategy, whichever occurs first. Monthly interest payments, calculated without compounding, are due throughout the Loan term. Payments are applied in the following order: fees, interest, principal.

14.2 Prepayment

Permitted, subject to a minimum penalty equal to **three (3) months' interest** calculated at the contractual rate.

15. GENERAL PROVISIONS

Governing Law	Laws of the Province of Quebec (Canada)
Jurisdiction	District of Montreal, Quebec
Assignment	Prohibited without prior written consent of Lender
Amendments	In writing, signed by the parties
Severability	Any invalid clause does not affect the remainder of the Agreement

Notices	In writing, including certified or registered email
Entire Agreement	This Agreement constitutes the entire agreement of the parties
Waiver	No tolerance constitutes a permanent waiver

16. SIGNATURES

IN WITNESS WHEREOF, the parties have signed this Agreement on the date indicated below, having read and understood its full contents.

LENDER — CAPITAL NORVEX INC.

Authorized Representative:

Title:

Date:

Signature : _____

BORROWER

Corporate Name:

Authorized Representative:

Title:

Date:

Signature : _____

GUARANTOR 1

Full Name:

Date:

Signature : _____



GUARANTOR 2 (if applicable)

Full Name:

Date:

Signature : _____

SCHEDULE A — PROPERTY DESCRIPTION**Project / Property Name:**

Municipal Address:

Municipality / RCM:

Cadastral Designation:

Number of Rental Units:

Property Type (plex / apartments):

Year of Construction:

Total Livable Area (sq ft / m²):

Estimated Property Value:

Acquisition Price or Debt Refinanced:

Borrower's Equity Contribution:

Approved Estimated Annual NOI:

Occupancy Rate as of Disbursement Date:

Projected DSCR:

Designated Property Manager:

Expected Signing Date:

The appraisal report, Rent Roll, Property financial statements, and approved Pro Forma form integral parts of this Schedule A and are deemed attached hereto.

Initialled and approved by: _____ (Lender) _____ (Borrower)